Playbook: Non-Solicitation

NORTHWIND SYSTEMS INTERNAL LEGAL PLAYBOOK ## SECTION 14: NON-SOLICITATION AND EMPLOYEE POACHING COVENANTS

14.1 Objective and Scope This section governs the negotiation of non-solicitation clauses in all Northwind Systems B2B SaaS Master Services Agreements (MSAs), Enterprise Agreements, and related commercial contracts. No sales representative, account executive, or business development lead has authority to alter these terms without written approval from the Legal Department pursuant to subsection 14.5.

14.2 Preferred Position (Model Clause Language) The Legal team shall insert the following standard bilateral non-solicitation clause into all Northwind paper:

> 14.2(a) Mutual Non-Solicitation. During the term of this Agreement and for a period of twelve (12) months following the termination or expiration hereof for any reason, neither party shall, directly or indirectly, solicit, recruit, induce, or hire away any employee, contractor, or consultant of the other party who was involved in the performance, delivery, or receipt of the services hereunder, without the prior written consent of the other party.
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> 14.2(b) Permitted Recruitment. The restrictions in Section 14.2(a) shall not apply to: (i) general, public solicitations through newspapers, internet job boards, or radio advertisements not specifically targeted at the personnel of the other party; or (ii) unsolicited employment inquiries initiated by an employee or contractor of the other party without prior inducement.
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> 14.2(c) Liquidated Damages. In the event of a breach of Section 14.2(a) that results in the hiring of a restricted person, the breaching party shall pay to the non-breaching party liquidated damages equal to twelve (12) months of the hired person’s fully loaded base salary at the time of departure, payable within thirty (30) days of demand. The parties agree this sum is a genuine pre-estimate of recruitment and training costs and not a penalty.

14.3 Fallback Position If the counterparty rejects the 12-month duration, the mutual structure, or the standard liquidated damages formula, counsel may concede to the following modified terms without escalation:

1. Duration: Reduce the post-termination restriction period from twelve (12) months to six (6) months.
2. Exclusion Scope: Limit the restriction strictly to personnel who had direct, substantive interaction with the counterparty during the preceding twelve (12) months (as tracked in Northwind's CRM and project management systems).
3. Monetary Floor: Maintain a minimum monetary floor of $50,000 USD or the equivalent local currency per hiring violation, regardless of the hired person's salary.
4. Fee Multiple Cap: Cap total liquidated damages at 1.5x (150%) of the total annual contract value (ACV) paid or payable by the customer in the preceding twelve (12) months.
5. Cure Period: Introduce a mandatory written fifteen (15)-day cure period commencing upon receipt of written notice of alleged breach, during which the breaching party may cease and desist the prohibited hiring action without penalty if the individual resigns from the new employment.

14.4 Walk-Away Position Counsel must break off negotiations or reject the counterparty's clause if the counterparty insists on any of the following terms:

1. Unilateral Restrictions: Any non-solicitation obligation imposed exclusively on Northwind while the customer is entirely unbound.
2. Extended Durations: Any post-termination restriction exceeding twelve (12) months.
3. Project-Based Permanent Bans: Any provision attempting to permanently bar the hiring of Northwind implementation engineers, customer success managers, or account executives assigned to the account.
4. Absence of Cure or Excessive Penalties: Any clause omitting the standard fifteen (15)-day cure period or demanding liquidated damages exceeding 3.0x (300%) of the total contract value.

14.5 Escalation Thresholds and Named Approvers Any departure from the Preferred or Fallback positions requires formal written approval routed through the internal ticketing system to the designated approver:

1. Unilateral Customer Exemption: If a customer insists on binding Northwind while offering zero reciprocal protection for Northwind personnel, escalation is required to Arthur Pendelton, Chief Executive Officer.
2. Liquidated Damages Reductions below the Monetary Floor: If a counterparty negotiates the liquidated damages floor below the standard $50,000 USD threshold down to a minimum of $25,000 USD, escalation is required to Sarah Jenkins, Chief Financial Officer.
3. Extension of Cure Periods: Any proposal to extend the standard fifteen (15)-day cure period beyond thirty (30) days, or to introduce arbitration prerequisites prior to injunctive relief, requires escalation to Marcus Vance, General Counsel.

14.6 Worked Examples of Counterparty Language

Category A: Acceptable Counterparty Language (Fallback-Compliant) *These clauses may be accepted without escalation.*

* Acceptable Example 1:
> "Neither party shall solicit or hire the employees of the other party involved in this Agreement during the term and for six (6) months thereafter. General advertisements shall be exempt. In the event of a breach resulting in a hire, the hiring party shall pay liquidated damages equal to six (6) months of base salary, subject to a monetary floor of $50,000 USD and capped at 1.5x the annual fees paid under this Agreement, provided that the breaching party is given fifteen (15) days to cure upon written notice."
Analysis: Meets all Fallback criteria: 6-month duration, 1.5x ACV fee cap, $50,000 monetary floor, and a 15-day cure period.

* Acceptable Example 2:
> "For a period of twelve (12) months following contract termination, both Customer and Northwind agree not to actively recruit personnel who directly performed services under this MSA. This restriction excludes general job postings. Should a violation occur, the offending party shall pay liquidated damages calculated at twelve (12) months of salary, capped strictly at 1.5x the prior year's fees, after a written cure period of fifteen (15) days."
Analysis: Bilateral structure maintained, fee multiple within allowable limits, and cure period explicitly included.

Category B: Unacceptable Counterparty Language (Walk-Away / Mandatory Escalation) *These clauses must be rejected or escalated immediately.*

* Unacceptable Example 1:
> "Northwind agrees that for the entire duration of this Agreement and for twenty-four (24) months thereafter, Northwind shall not solicit, induce, or hire any employee, contractor, or officer of Customer. Customer shall have no reciprocal obligation. Breach of this clause shall result in immediate liquidated damages equal to $500,000 USD per occurrence, with no cure period permitted."
Analysis: Violates multiple Walk-Away rules: unilateral restriction, 24-month duration (exceeding 12-month max), lack of cure period, and excessive penalty exceeding the fee multiple threshold. Requires escalation to Arthur Pendelton (CEO) and Marcus Vance (General Counsel).

* Unacceptable Example 2:
> "Customer may at any time during the term of this Agreement offer employment to any Northwind Customer Success Manager assigned to this account. Northwind agrees not to hire or engage any former employee of Customer under any circumstances for a period of five (5) years post-termination."
Analysis: Contains a permanent/extended 5-year ban and an asymmetric structure allowing the customer to poach Northwind staff without restriction. Must be rejected outright.